

The contrarian value investment strategy is well suited to the application of statistical-prediction rules. All of these stocks have what appear to be broken legs. The intrinsic value is uncertain because its discovery requires the anticipation of an event not obvious in the historical financial data—mean reversion. Rather we must rely on the statistical base case for undervalued, money-losing securities—that they will spontaneously mean revert toward a state of earning power commensurate with their assets. Graham—referring to net nets, but the broader point applies to all deep value stocks—observed that “[t]he objection to buying these issues lies in the probability, or at least the possibility, that earnings will decline or losses continue, and that the resources will dissipated and the intrinsic value ultimately become less than the price paid.”⁷³ As we have seen, there is some validity to this concern on an individual company level. In his study, Montier found that an individual stock selected by the net current asset value strategy was two-and-a-half times more likely to suffer a permanent loss of capital than the average stock (Montier found that about 5 percent of net current asset value stocks declined 90 percent or more in a single year, while only 2 percent of all stocks suffered a similar decline).⁷⁴ Recall that what was true at the individual company level, however, was not true at an aggregate level. The net net portfolios had fewer down years than the market (the net nets only suffered losses at the portfolio level in 3 years in the 23-year sample, while the overall market saw 6 years of negative returns).⁷⁵ Not only did the strategy outperform over the full period, it had fewer losing years, even though the average net net was two-and-a-half times more likely than the average stock to suffer a terminal decline. Montier’s findings in relation to net nets are emblematic of our attitude to deep value stocks generally. Confronted with a choice to invest in one of two undervalued stocks—one with a high rate of growth in its sales, earnings, and cash flow, with good asset growth, and a high return on equity and capital; the other with drooping earnings, anemic sales growth, lagging cash flow generation, no asset growth, and feeble returns on equity—we choose the first one. It’s a no-brainer. The high-growth value stock is a diamond in the rough, and the other is a clear value trap; undervalued, yes, but probably undervalued for all the right reasons. As we already know, our intuition here is wrong. We’ve ignored the base case for these undervalued stocks and not properly accounted for the likelihood of mean reversion in both stocks.

These biases—ignorance of the base case and ignorance of mean reversion—are key contributors to the ongoing returns to deep value investment. We know that a portfolio of deep value stocks will, on average, generate better returns and suffer fewer down years, than the market, but we fixate on the fact that any individual deep value stock is more likely to suffer a permanent loss of capital. The reason is that even those of us who identify as